owns, insurance companies. It’s a big part of Berkshire’s business. As an insurer, you collect premiums upfront and pay claims later. In the interim, you get to invest that money. Any gains you make are yours to keep.

And if your premiums exceed the claims you pay, you keep that too.

That’s called an underwriting profit.

Everybody knows this part of the story: Buffett invested the float.

What people may not know is just how cheap that source of funds was over time. To put it in a thimble: Buffett consistently borrowed money at rates lower than even the US government.

How is that possible? If premiums exceed claims, then Buffett effectively borrowed money at a negative rate of interest. He took in premiums.

He invested the money. He kept all the profits. And when he repaid the money (by paying claims), he often paid back less than he borrowed.

From 1965, according to one study, Berkshire had a negative cost of borrowing in 29 out of 47 years. Chirkova cites another study that puts Berkshire’s cost of borrowing at an average of 2.2 percent — about three points lower than the yield on Treasury bills over the same period.

This is the key to Berkshire’s success. It’s hard not to do well when nearly 40 percent of your capital is almost free. This doesn’t mean insurance is an easy ticket to riches. Berkshire was smart about what insurance risks it took. That means it had to shrink when the risk and reward got out of whack, which it frequently did (and does).

For example, look at National Indemnity. It is Berkshire’s oldest subsidiary. In 1986, NI brought in $366 million in premiums. Then from 1989 to 2000, NI never collected more than $100 million in premiums.

As Chirkova writes,

> The decline in revenue over the 1986-1999 period did not occur because business was not obtainable. Berkshire could have collected many billions of dollars in premiums had it been willing to cut prices. However, the company priced its policies to make a profit, not to compete with other insurers. Berkshire never left customers. Customers left Berkshire.